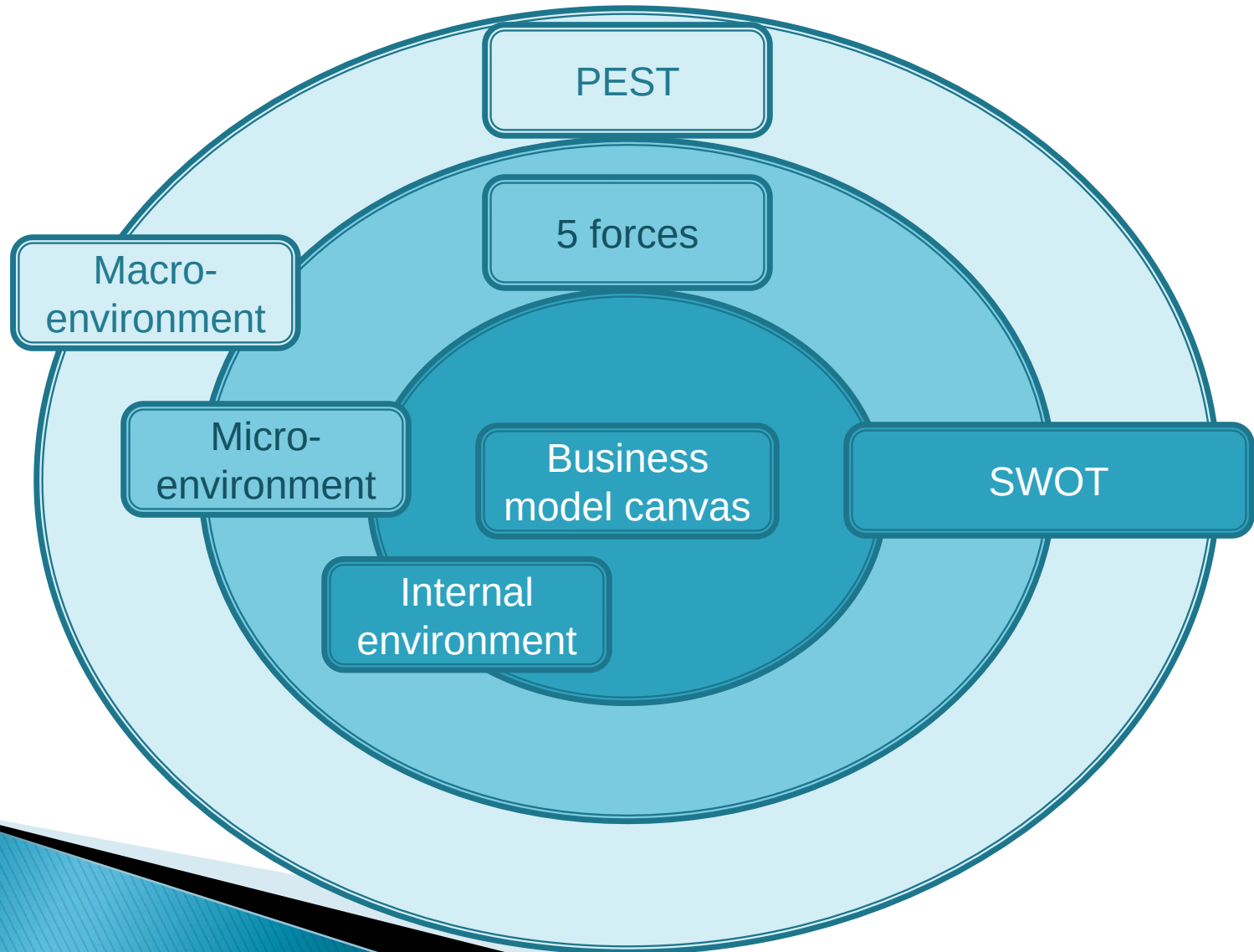


EC5001

Introduction to EC

Lecture 3
B2C E-Commerce

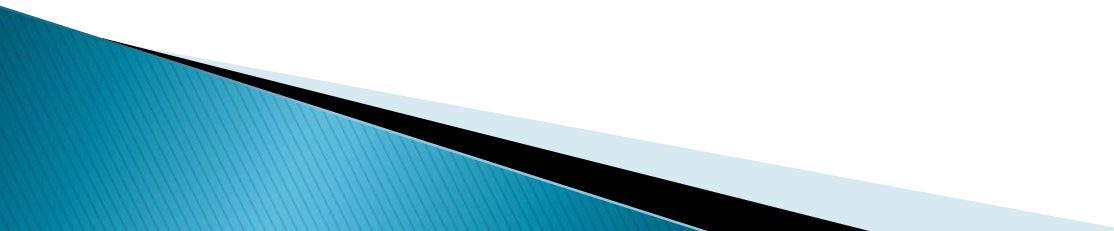
Recap – Analyzing the environment



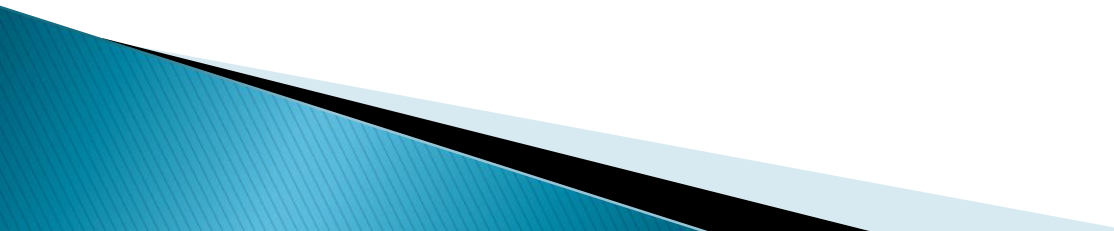
Recap – PEST

- ▶ PEST—the “big picture”
 - Macro-environment
- ▶ Forces of change a business is exposed to
 - Political
 - Economic
 - Socio-cultural
 - Technological

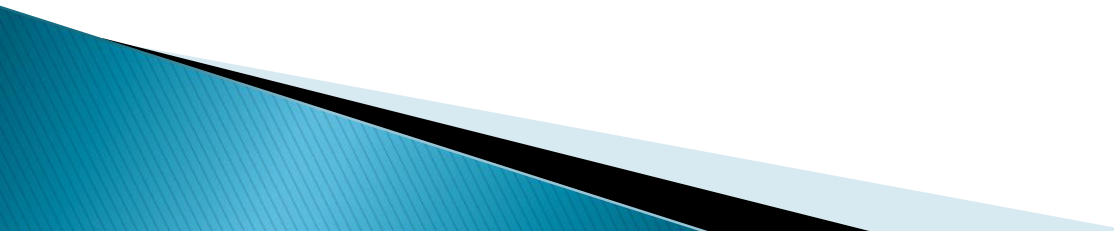
Recap – PEST—Political Factors

- ▶ Governmental approaches to corporate policy, corporate social responsibility, environmental issues, and customer protection legislation?
 - ▶ Change in local, state/provincial, or national government?
 - When?
 - How could this change policies?
 - Who's most likely to win?
 - ▶ Property rights and the rule of law?
 - ▶ Corruption and organized crime?
 - How likely are these situations to change?
 - ▶ Pending legislation or taxation changes?
- 

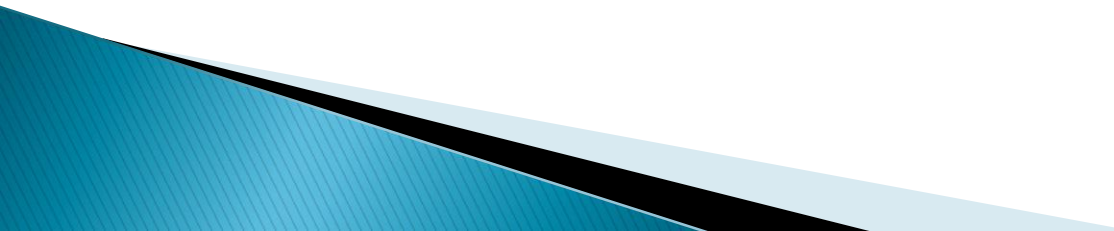
Recap – PEST—Economic Factors

- ▶ State and stability of current economy?
 - ▶ Stability of key exchange rates?
 - ▶ Customers' levels of disposable income?
 - ▶ Unemployment rate?
 - ▶ Access to credit (businesses & consumers)?
 - ▶ Effect of globalization on economic environment?
- 

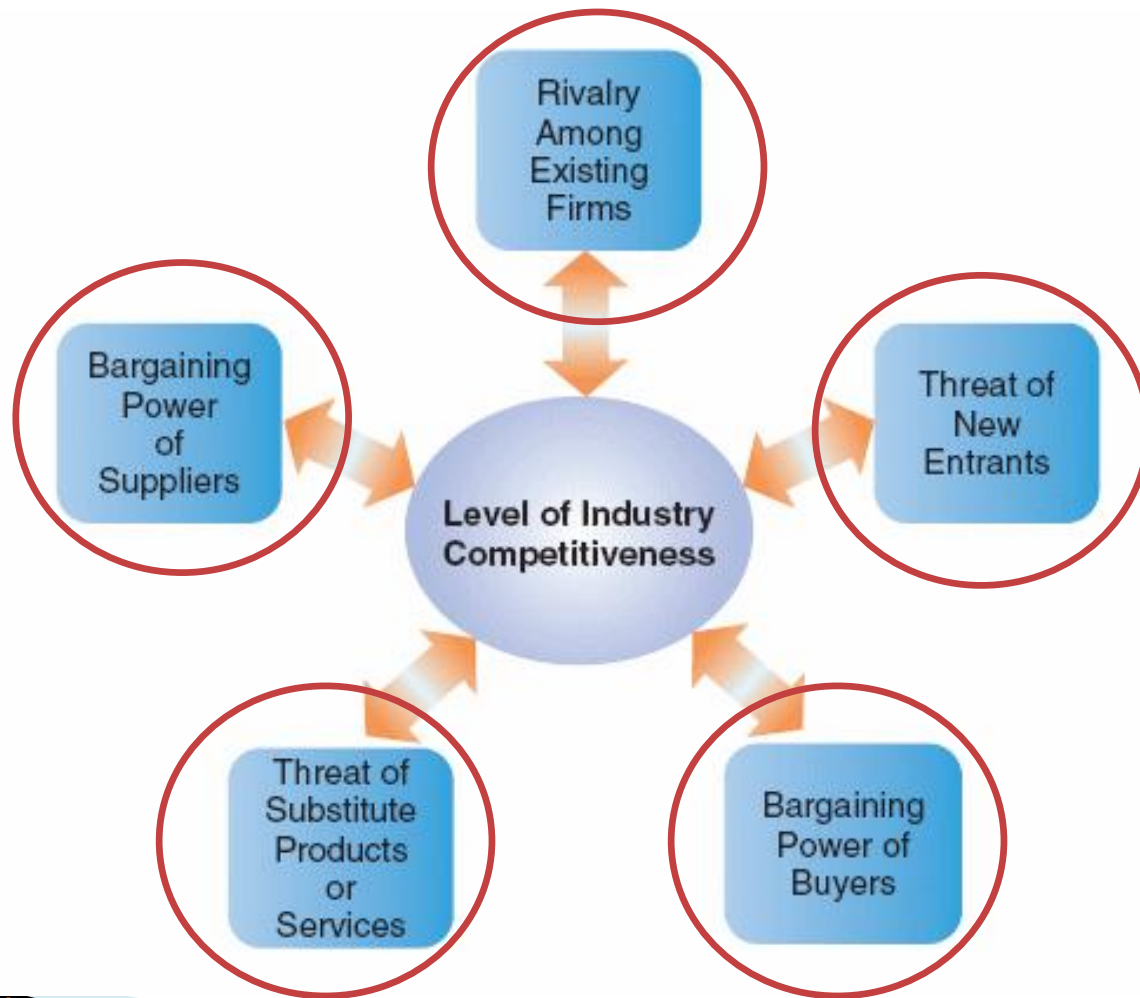
Recap – PEST—Socio-Cultural Factors

- ▶ Population's growth rate and age profile?
 - ▶ Generational shifts in attitude?
 - ▶ Society's levels of health, education, and social mobility?
 - ▶ Employment patterns, job market trends, and attitudes toward work can you observe?
 - ▶ Social attitudes and social taboos?
 - ▶ Religious beliefs and lifestyle choices?
- 

Recap – PEST—Technological Factors

- ▶ New technologies that you could be using?
 - ▶ New technologies that could radically affect your work or your industry?
 - ▶ Competitors' access to new technologies that could redefine their products?
 - ▶ Research focus of governments and educational institutions?
- 

Recap – Porter's Five Forces Model



Recap – SWOT

- ▶ Focuses on a business unit, a proposition or idea
- ▶ Bridges internal and external analyses

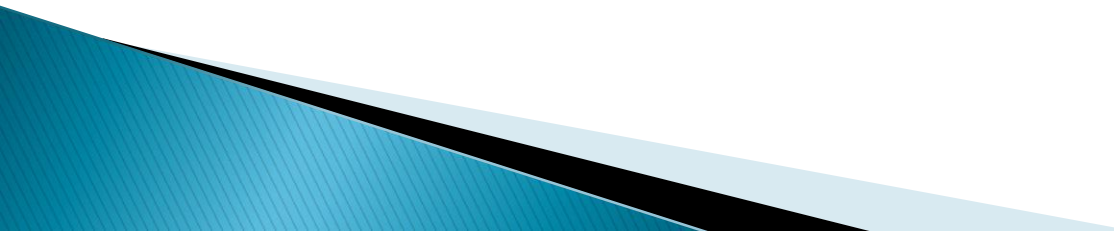
	+	-
Internal	Strengths	Weaknesses
External	Opportunities	Threats

Recap – SWOT

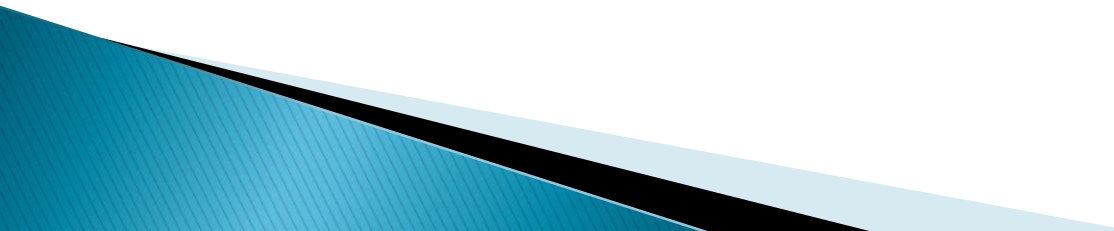
▶ Internal factors

- products, pricing, costs, profitability, performance, quality, people, skills, adaptability, brands, services, reputation, processes, infrastructure, etc.

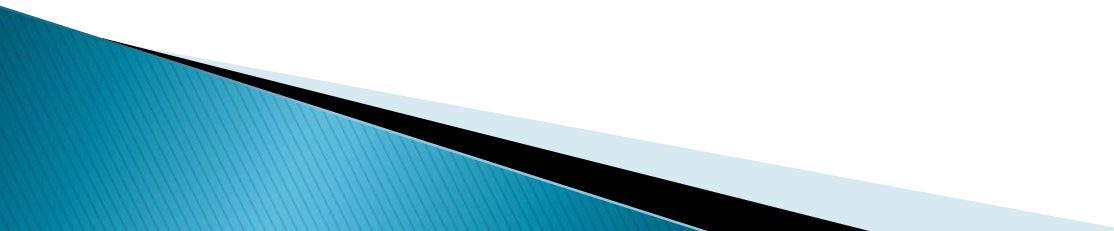
▶ External factors

- markets, sectors, audience, fashion, seasonality, trends, competition, economics, politics, society, culture, technology, environmental, media, law, etc.
 - Informed by PEST and Five forces (partially)
- 

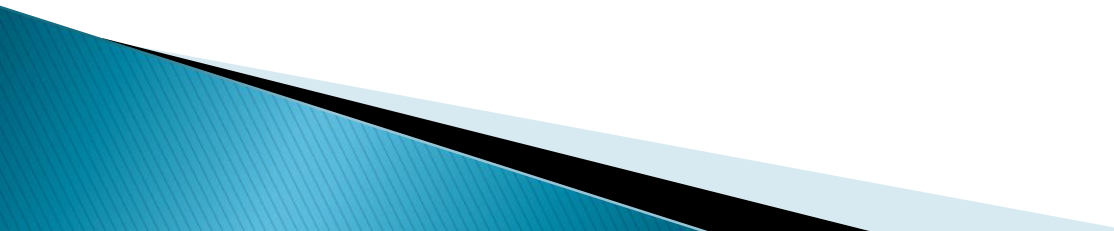
Recap – SWOT—Strengths

- ▶ What advantages does your organization have?
 - ▶ What do you do better than anyone else?
 - ▶ What unique or lowest-cost resources can you draw upon that others can't?
 - ▶ What do people in your market see as your strengths?
 - ▶ What is your value proposition?
- 

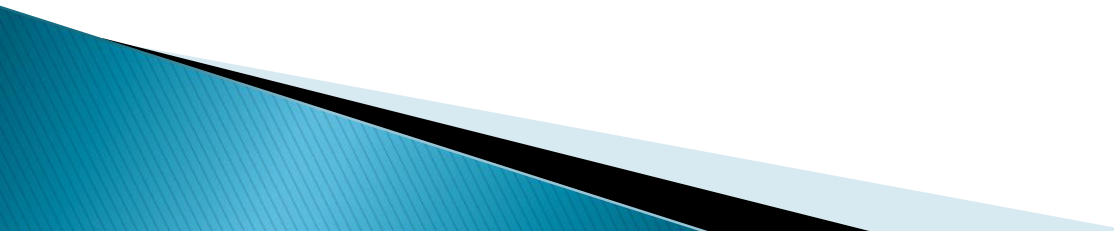
Recap – SWOT—Weaknesses

- ▶ What could you improve?
 - Morale, leadership...
 - ▶ What are people in your market likely to see as weaknesses?
 - Reputation, accreditation,...
 - ▶ What factors lose you sales?
 - Supply chain, capabilities,...
 - ▶ Are your competitors doing any better than you?
- 

Recap – SWOT—Opportunities

- ▶ What good opportunities can you spot?
 - ▶ What interesting trends are you aware of?
 - Changes in technology and markets
 - Changes in government policy
 - Changes in social patterns, population profiles, lifestyle changes,...
- 

Recap – SWOT—Threats

- ▶ What obstacles do you face?
 - Political, legislative, employment market, economy...
 - ▶ What are your competitors doing?
 - ▶ Is changing technology threatening your position?
 - ▶ How are you vital partners doing,...
- 

Recap – Organizational Strategy

► Strategy

A broad-based formula for how a business is going to accomplish its mission, what its goals should be, and what plans and policies will be needed to carry out those goals

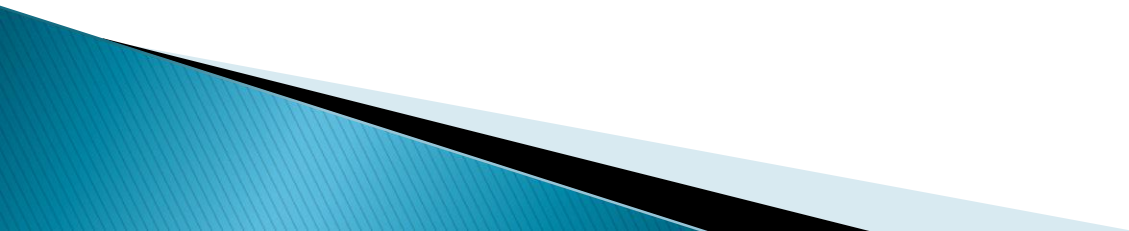
Recap – Strategic Planning Process

- ▶ **Strategy Initiation**

The initial phase of strategic planning in which the organization examines itself and its environment

- ▶ **Strategy Formulation**

The development of strategies to exploit opportunities and manage threats in the business environment in light of corporate strengths and weaknesses



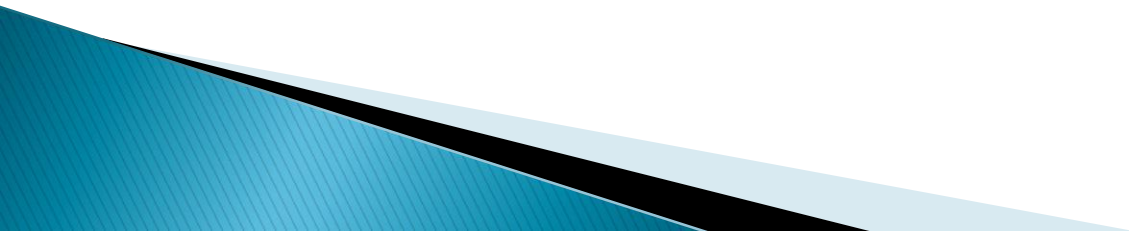
Recap – Strategic Planning Process

- ▶ **Strategy Implementation**

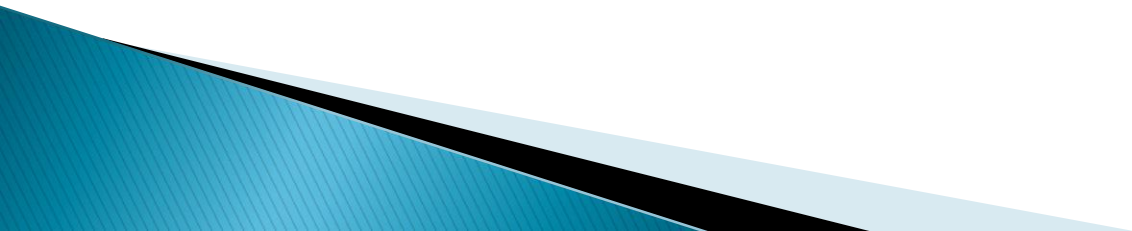
The development of detailed, short-term plans for carrying out the projects agreed on in strategy formulation

- ▶ **Strategy Assessment**

The continuous evaluation of progress toward the organization's strategic goals, resulting in corrective action and, if necessary, strategy reformulation



Learning objectives

- ▶ Describe key value propositions and revenue models of EC business models
 - ▶ Describe major B2C business models
 - ▶ Describe the major features of the online service sector
- 

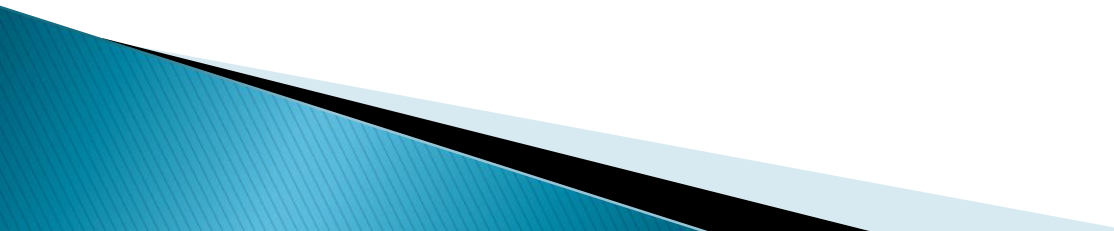
Value proposition

- ▶ The utility that the product/service has to offer to customers
 - Why do customers need our product/service?
 - What problems will our product/service solve?
 - Why would customers choose our product/service over our competitor's product/service?
- ▶ Newness, performance, design, brand/status, price, cost reduction, risk reduction, convenience

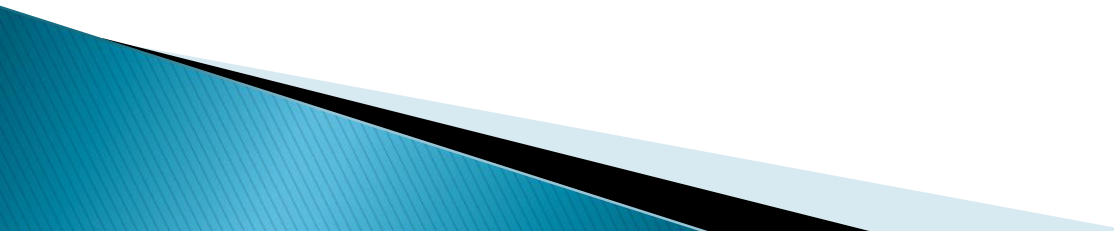
EC value propositions

- ▶ Personalization
- ▶ Customization
- ▶ Convenience
- ▶ Reduction of search costs
 - Product and price

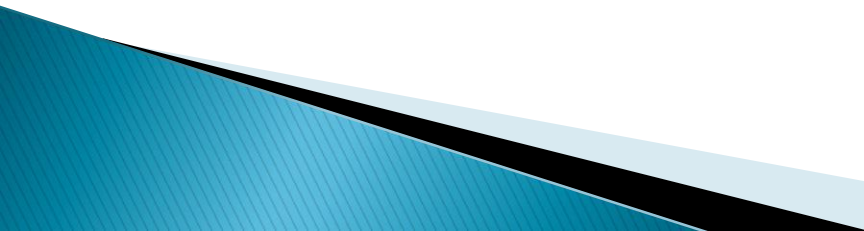
Revenue models

- ▶ The way a firm generates income
 - One-time transaction revenues
 - Recurring revenues
 - ▶ Common types:
 - Sales
 - Transaction fees
 - Subscription fees
 - Advertising fees
 - Affiliate fees
 - Licensing fees
- 

B2C business models

- ▶ E-tailer
 - ▶ Community provider/social network
 - ▶ Content provider
 - ▶ Portal
 - ▶ Transaction broker
 - ▶ Market creator
 - ▶ Service provider
- 

B2C models: E-Tailer

- ▶ Online version of traditional retailer
 - ▶ Revenue model: Sales
 - ▶ Variations:
 - Virtual merchant
 - Bricks-and-clicks
 - Catalog merchant
 - Manufacturer-direct
 - ▶ Low barriers to entry
 - ▶ **What are the Advantages of E-Tailing?**
- 

B2C models: E-Tailer

- ▶ **Direct Sales by Manufacturers**

- Virtual (pure-play) e-tailers**

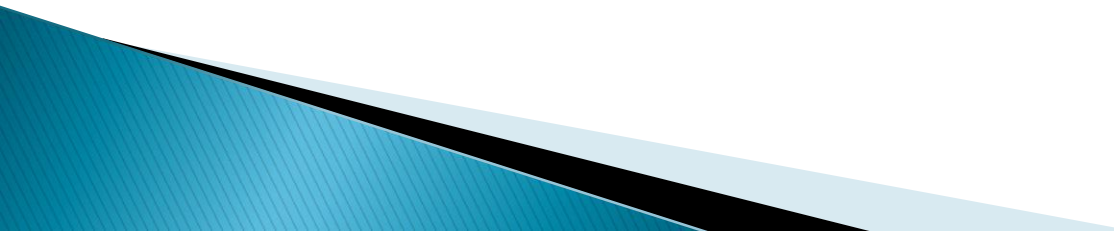
- Firms that sell directly to consumers over the Internet without maintaining a physical sales channel

- ▶ **Click-and-mortar retailers**

- Brick-and-mortar retailers that offer a transactional website from which to conduct business

- ▶ **Brick-and-mortar retailers**

- Retailers who do business in the non-Internet, physical world in traditional brick-and-mortar stores



Issues In B2C – E-Tailing

- ▶ **Disintermediation**
- ▶ **Reintermediation**
- ▶ **channel conflict**
- ▶ **Price conflict and determining the right price by the sellers**
- ▶ **Product and Service Personalization and Customization**
- ▶ **Online Fraud**

B2C models: Community provider/Social network

- ▶ Online environment where people with similar interests can transact, share content, and communicate
 - e.g., Facebook, LinkedIn, Twitter, Pinterest
- ▶ Revenue models:
 - Typically hybrid, combining advertising, subscriptions, sales, transaction fees, affiliate fees

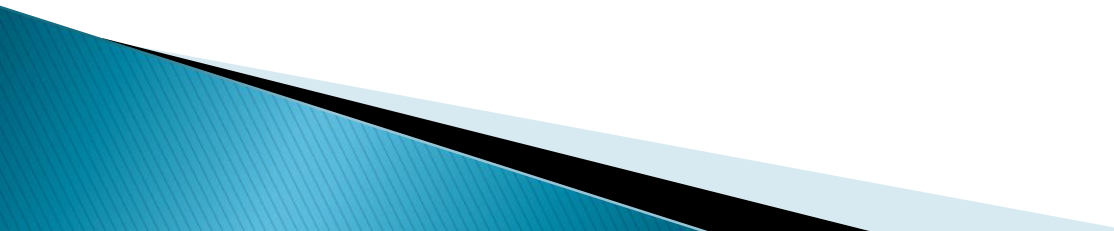
B2C models: Content provider

- ▶ Digital content on the Web
 - News, music, video, text, artwork
- ▶ Revenue models:
 - Subscription; pay per download (micropayment); advertising; affiliate referral

B2C models: Portal

- ▶ Search + package of content and services
- ▶ Revenue models:
 - Advertising, referral fees

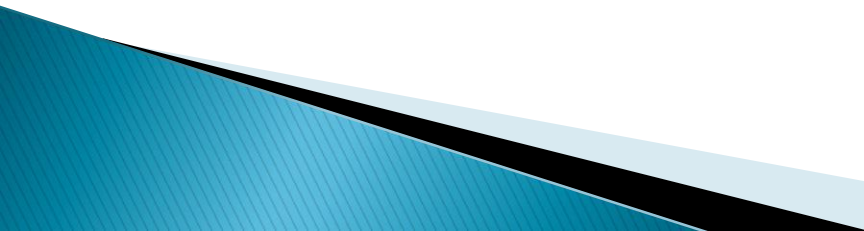
B2C models: Transaction broker

- ▶ Process online transactions for consumers
 - Saving time and money
 - ▶ Revenue model:
 - Transaction fees
 - ▶ Industries using this model:
 - Financial services
 - Travel services
 - Job placement services
- 

B2C models: Market creator

- ▶ Create digital environment where buyers and sellers can meet and transact
 - e.g., Priceline, eBay
- ▶ Revenue model: Transaction fees

B2C models: Service provider

- ▶ Online services
 - e.g., Google—Google Maps, Gmail
 - ▶ Value proposition
 - Valuable, convenient, time-saving, low-cost alternatives to traditional service providers
 - ▶ Revenue models:
 - Sales of services, subscription fees, advertising, sales of marketing data
- 

B2C Social Shopping Options

- ▶ **Online Group Buying**
- ▶ **Personalized Event Shopping**
 - **event shopping**

A B2C model in which sales are done to meet the needs of special events (e.g., a wedding, Black Friday).
- ▶ **Private shopping club**

A members-only shopping club, where members can buy goods at large discounts

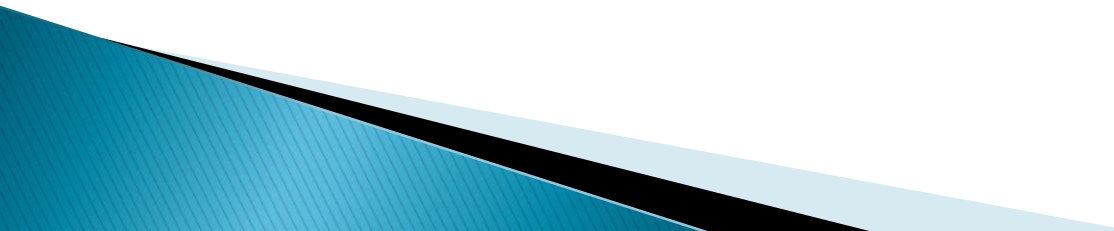
B2C Social Shopping Decisions

- ▶ Utility
 - Good deals, convenience, speedy delivery
- ▶ Trust
 - Lack of sensory information
 - Smell, taste, feel
 - Information asymmetry
 - Opportunistic behavior
- ▶ Trust →
 - loyalty
 - price premium

B2C Social Shopping – Developing Trust

- ▶ Build strong reputation
 - Honesty, fairness, delivery of quality products
- ▶ Feedback mechanisms

B2C – Service Industries

- ▶ Major service industry groups:
 - Finance
 - Insurance
 - Real estate
 - Travel
 - Professional services—legal, accounting
 - Business services—consulting, advertising, marketing
 - Health services
 - Educational services
- 

B2C – Service Industries

- ▶ Two categories
 - Transaction brokers
 - Hands-on service providers
- ▶ Features:
 - Knowledge- and information-intensive
 - Makes them uniquely suited to e-commerce applications
 - Personalization and customization
 - Level differs depending on type of service, e.g., medical vs. financial

B2C – Service industries – Financial services

▶ Financial portals

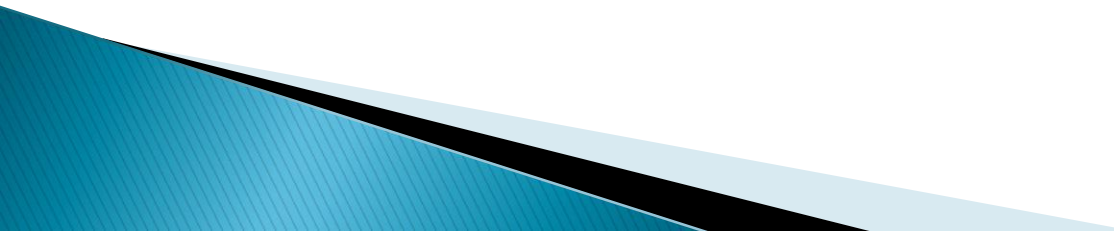
- Comparison shopping services, independent financial advice, financial planning
- Revenues from advertising, referrals, subscriptions
- e.g., Yahoo! Finance, Quicken.com, MSN Money

▶ Online brokerage

▶ Online mortgage and lending services

- Established online banks, brokerages, and lending organizations
- Traditional mortgage vendors
- Pure online mortgage firms

▶ electronic (online) banking or e-banking



B2C – Service industries – Real Estate, Insurance, Stock Trading Online

▶ Real Estate Online

- Zillow, Craigslist, and Other Web 2.0 Real Estate Services

▶ Insurance Online

- Product information, search
- Price discovery
- Online quotes
- Influencing the offline purchasing decision

▶ Online Stock Trading

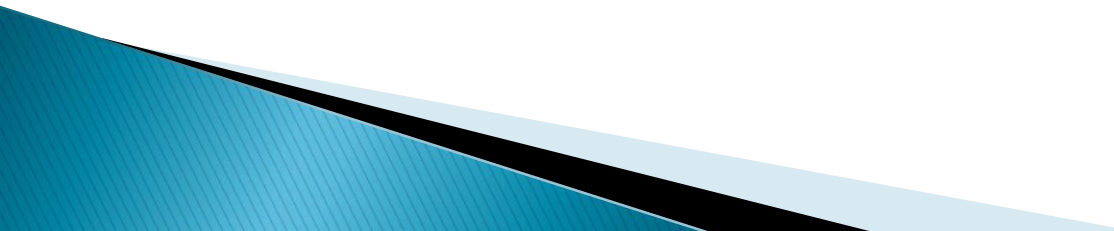
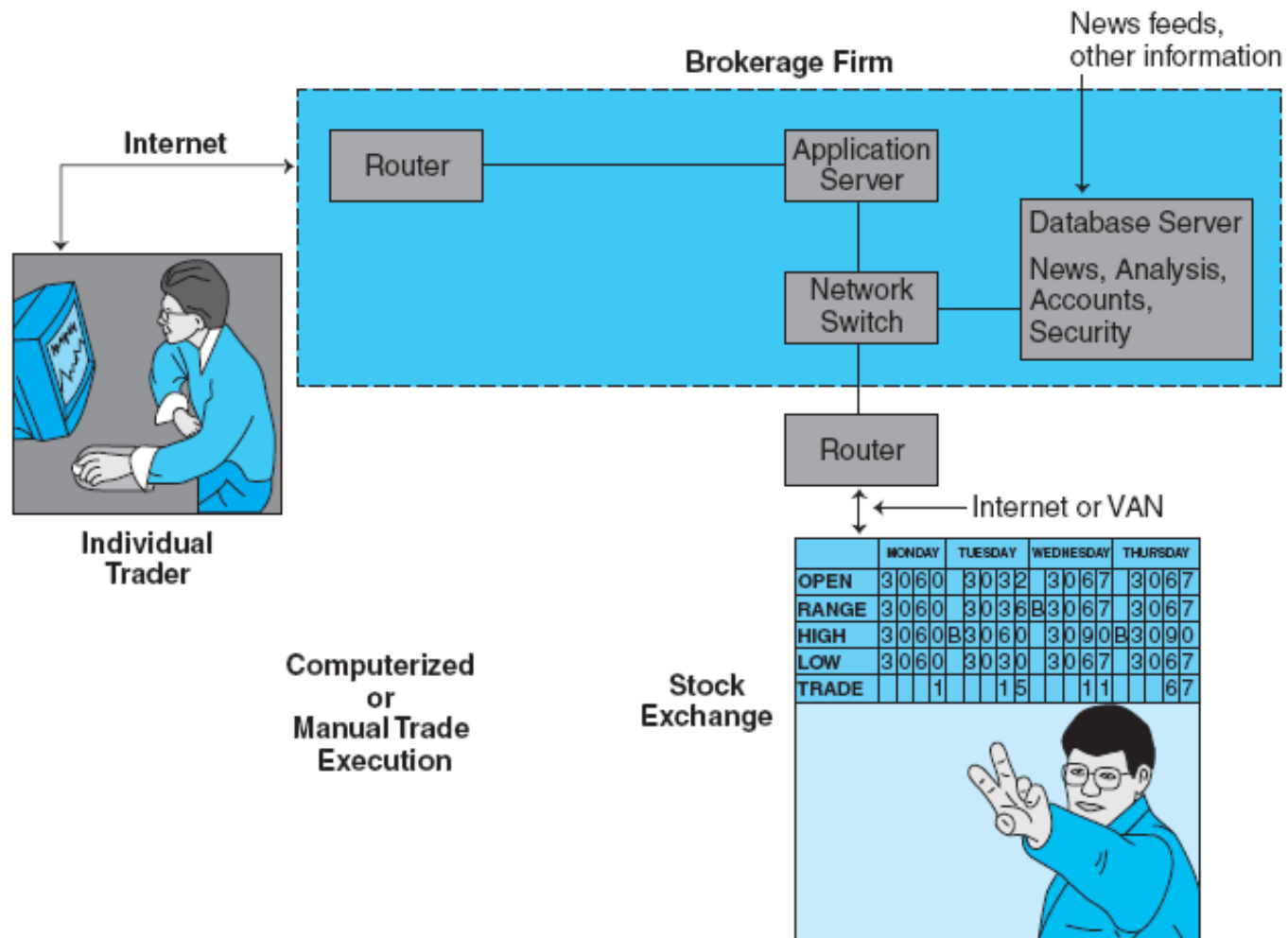
- The Risk of Trading in an Online Stock Account
- 

EXHIBIT 3.9

Online Electronic Stock Trading



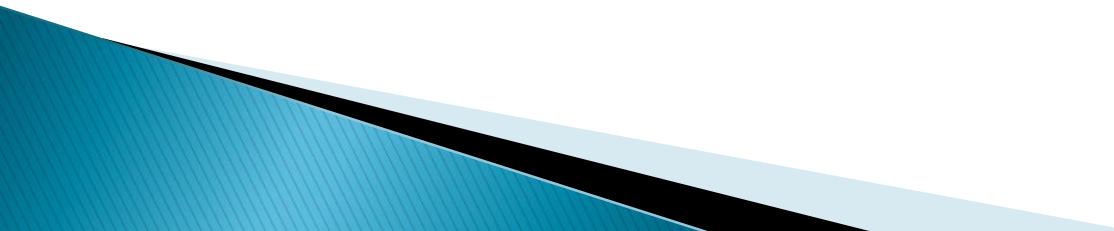
B2C – Service industries – Travel And Tourism Services Online

▶ **Special Services Online**

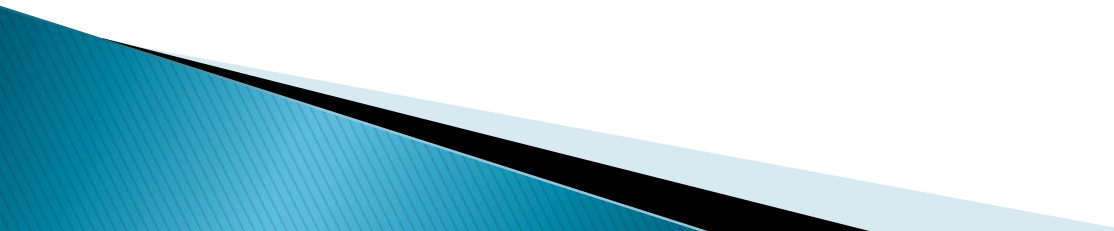
- Wireless services
- Advanced check-in
- Direct marketing
- Alliances and consortia

◦ **Social Travel Networks**

▶ **What are the Advantages/Disadvantages of Online Travel Services?**



B2C – Service industries – Travel And Tourism Services Online

- ▶ **Ideal service/product for Internet**
 - Information-intensive product
 - Electronic product—travel arrangements can be accomplished for the most part online
 - No physical inventory
 - No physical offices with multiple employees
 - Excess capacity
 - No expensive multi-channel presence
- 

B2C – Service industries – Online Job Market

▶ Parties who use the Job Market Online

- Job seekers
 - Employers seeking employees
 - Classified ads
 - Job agencies
 - Government agencies and institutions
-
- Online Job Markets on Social Networks
 - Global Online Portals for Job Placement
 - Virtual Job Fairs

B2C – Service industries – On Demand Delivery of Products

▶ On Demand Delivery of Products

- E-grocer

A grocer that takes orders online and provides deliveries on a daily or other regular schedule or within a very short period of time

- On-demand delivery service

Express delivery made fairly quickly after an online order is received

B2C – Service industries – Online Entertainment/Gaming

- ▶ **Online Entertainment**
 - **Adult Entertainment**
 - **Internet Gaming**
 - **Online Dating Services**

B2C – Purchasing–Decision Aids

- ▶ **Shopping portals**

Gateways to webstores and e-malls; may be comprehensive or niche oriented

- ▶ **Shopping robots (shopping agents or shopbots)**

- ▶ **Recommendations from Other Shoppers and Friends**

- ▶ **Trust verification sites**

Summary

- ▶ EC Value proposition
 - ▶ Revenue models
 - ▶ B2C business models
 - ▶ B2C Social Shopping
 - ▶ B2C – Service Industries
 - Finance
 - Insurance
 - Real estate
 - Travel
 - Professional services—legal, accounting
 - Business services—consulting, advertising, marketing
 - Health services
 - Educational services
- 